

however, that the practical applications of analysis are made against a background largely colored by the changing times.

**The Price.** The price is an integral part of every complete judgment relating to securities. In the selection of prime investment bonds, the price is usually a subordinate factor, not because it is a matter of indifference but because in actual practice the price is rarely unreasonably high. Hence almost entire emphasis is placed on the question whether the issue is adequately secured. But in a special case, such as the purchase of high-grade *convertible* bonds, the price may be a factor fully as important as the degree of security. This point is illustrated by the American Telephone and Telegraph Company Convertible 4<sup>1</sup>/<sub>2</sub>s, due 1939, which sold above 200 in 1929. The fact that principal (at par) and interest were safe beyond question did not prevent the issue from being an extremely risky purchase *at that price*—one which in fact was followed by the loss of over half its market value.<sup>2</sup>

In the field of common stocks, the necessity of taking price into account is more compelling, because the danger of paying the wrong price is almost as great as that of buying the wrong issue. We shall point out later that the new-era theory of investment left price out of the reckoning, and that this omission was productive of most disastrous consequences.

**The Security: Character of the Enterprise and the Terms of the Commitment.** The roles played by the security and its price in an investment decision may be set forth more clearly if we restate the problem in somewhat different form. Instead of asking, (1) In what security? and (2) At what price? let us ask, (1) In what enterprise? and (2) On what terms is the commitment proposed? This gives us a more comprehensive and evenly balanced contrast between two basic elements in analysis. By the *terms* of the investment or speculation, we mean not only the price but also the provisions of the issue and its status or showing at the time.

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<sup>2</sup> Annual price ranges for American Telephone and Telegraph Company Convertible 4<sup>1</sup>/<sub>2</sub>s, due in 1939, were as follows:

| Year | High                            | Low |
|------|---------------------------------|-----|
| 1929 | 227                             | 118 |
| 1930 | 193 <sup>3</sup> / <sub>8</sub> | 116 |
| 1931 | 135                             | 95  |